CHAPTER 27

COMMERCIAL POLICY, SERVICES AND TRADE IN THE POSTWAR DECADE

COMMERCIAL POLICY

Repeated emphasis has been given to the point that Palestine's development in the postwar decade is dependent upon its ability to replace many items formerly imported and to extend its export markets. Increased agricultural exports must be sold in Europe and a wide range of diversified manufactures principally in the Middle East. The attainment of these objectives will be seriously jeopardized if the prewar commercial policy should be continued.

The major source of danger in the prewar policy lay in the Mandatory's interpretation of Article 18 of the Mandate. By virtue of this Article, Palestine was obliged to maintain a non-discriminatory tariff on the goods of all members of the League of Nations except former members of the Turkish Asiatic Empire (to which she was permitted to grant special favors). Although this provision was designed to prevent the Mandatory power from exploiting the Mandate, its interpretation by the British in the case of Palestine has prohibited anti-dumping measures and the negotiation of reciprocal trade treaties. Not only was Palestine prevented from discriminating against any <u>individual</u> nation; she was also prevented from taking counter-measures against any <u>class</u> of discriminations.

At the moment, the possibilities of freeing world trade from its prewar shackles remains a hope. To the extent that the hope remains unfulfilled, Palestine should be permitted to develop and use techniques of economic defense. One such technique for safeguarding the domestic market against unfair trade practices from abroad is to impose a discriminatory tariff on dumped articles. The continuance of the possibility of dumping is not precluded despite the fact that the worst offenders in this widespread practice, Germany and Japan, probably will be prohibited from pursuing such a policy, at least in the first postwar decade.